

Indian Railway Finance Corporation Ltd (IRFC)

Sector: Financials

ROE

13.0%

ROCE

5.7%

D/E

8.38x

OPM

99.5%

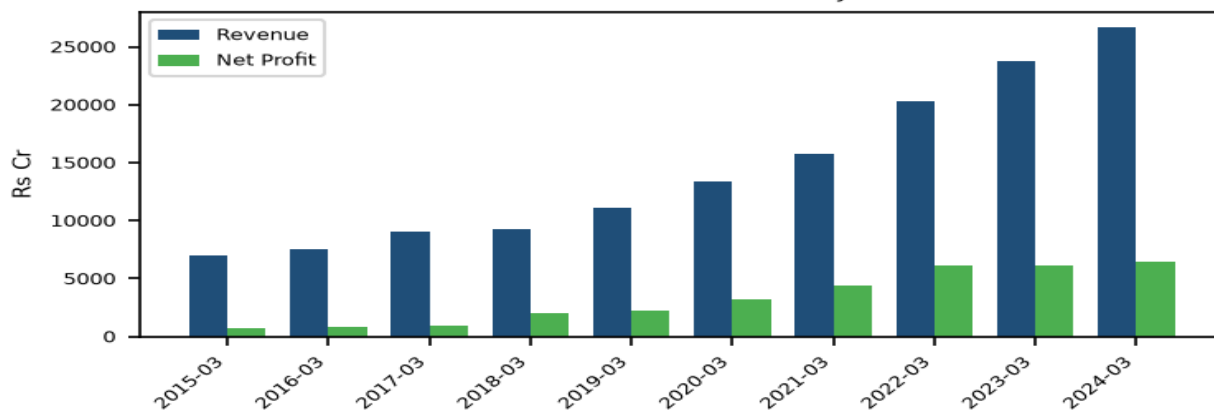
Revenue CAGR 5yr

19.1%

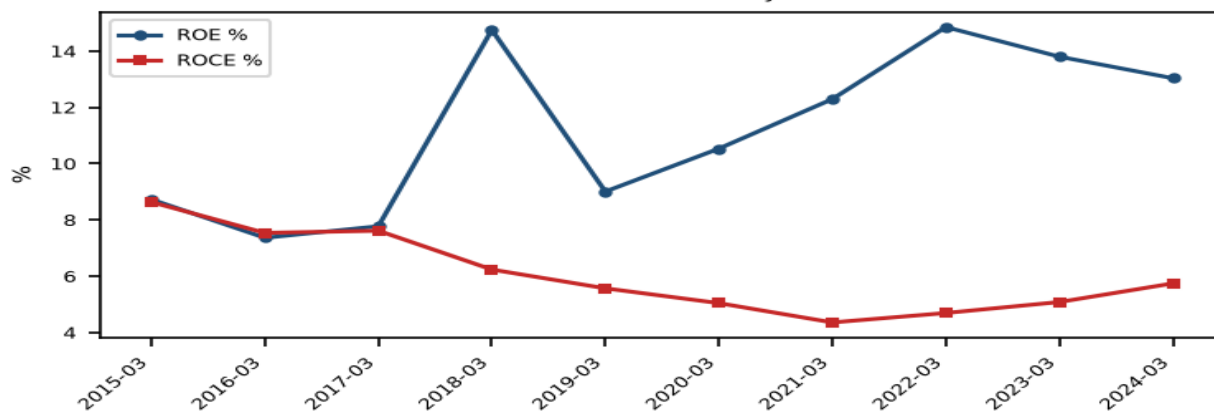
Free Cash Flow

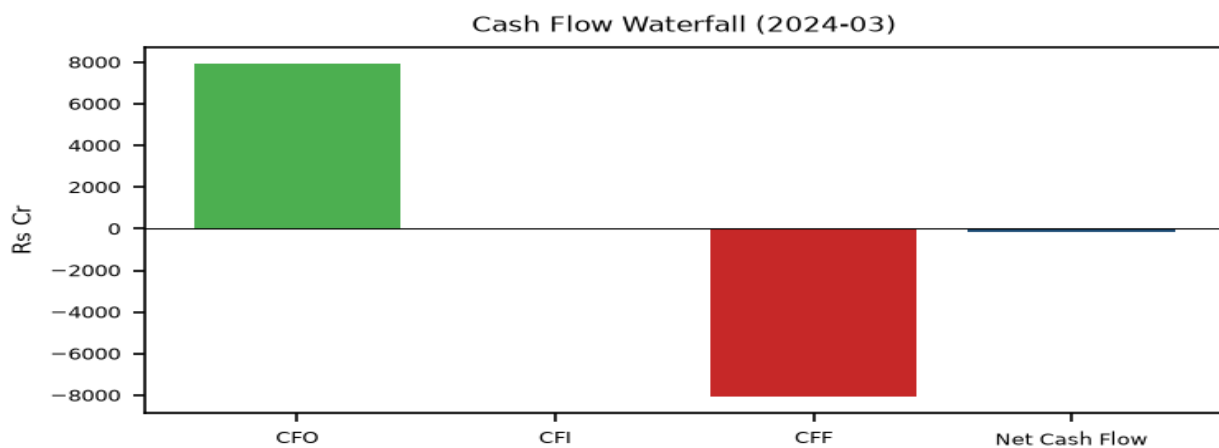
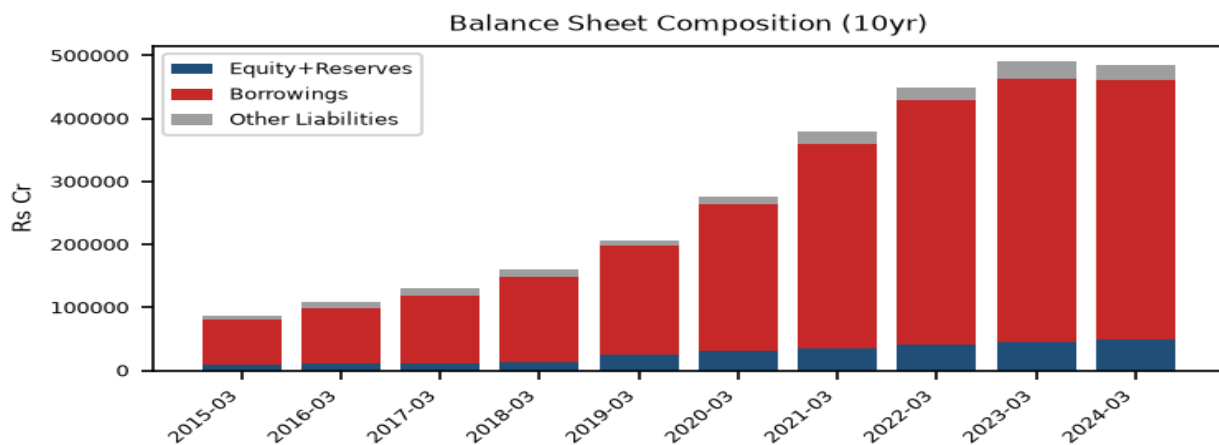
Rs 7,906 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Shareholder Returns